

Raising Capital

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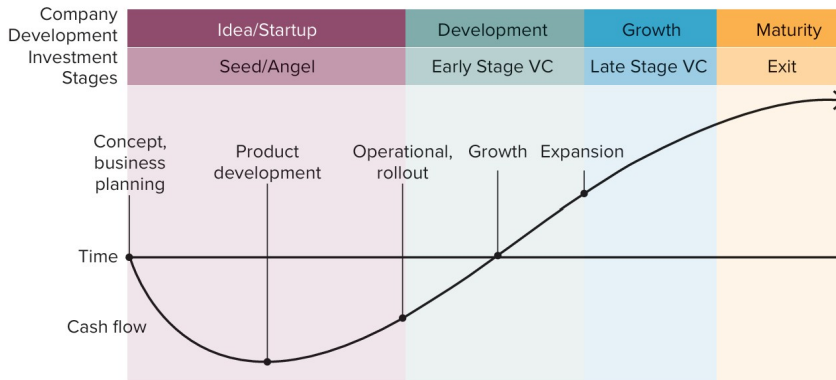
Presentation Outline

- 1 Entrepreneurship & Early-Stage Financing
- 2 Trends and Developments
- 3 Selling Securities to the Public
- 4 IPOs and Underpricing
- 5 Costs of Issuing Securities
- 6 Rights Offerings (HMETD)
- 7 Dilution
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Entrepreneurship and Venture Capital

- **Entrepreneurship:** The process of starting a business requires capital often beyond the founder's capacity.
- **Venture Capital (VC):** Private equity provided to startups with high growth potential in exchange for equity.
- **VC Realities:**
 - ▶ High risk of failure; VCs look for "Home Runs."
 - ▶ VCs provide more than money (mentorship, networking).
 - ▶ Exit strategy (IPO or Acquisition) is crucial.
- **Indonesia Context:** Prominent VCs like *East Ventures* and *Alpha JWC* have fueled the growth of GoTo, Traveloka, and Bukalapak.

Company Development and Investment Stages



SOURCE: *National Venture Capital Association Yearbook 2020* (Pitchbook Data, Inc.).

The "Tech Winter" and Regulatory Landscape

- **Market Shift:** Transition from high-volume funding to a selective, quality-driven approach focusing on **unit economics** and profitability.
- **OJK Regulation 25/2023:**
 - ▶ **Venture Capital Corporation (VCC):** Focus on equity/quasi-equity.
 - ▶ **Venture Debt Corporation (VDC):** Focus on debt/non-equity.
 - ▶ **Venture Funds:** Pooled capital via collective investment contracts.
- **Capital Requirements:** VCCs require IDR 50 billion; VDCs require IDR 25 billion.
- **The Singapore Factor:** Many Indonesian startups utilize Singapore Holding Companies due to tax efficiency (no capital gains tax) and legal flexibility.

Governance, Exits, and Emerging Players

- **Governance & Two-Tier Boards:** Indonesian law uses a **BOD** (Executive) and **BOC** (Supervisory). Investors use "Reserved Matters" (veto rights) for minority protection.
- **Exit Strategies (IPO):**
 - ▶ **Multiple Voting Shares (MVS):** Allows founders to retain control despite dilution.
 - ▶ **IDX Boards:** Main, Development, and Acceleration boards cater to different company scales.
- **Lessons from Fraud:** Recent cases (e.g., Investree) have led to demands for robust internal controls and independent audits.
- **Danantara (2024/2025):** A new Sovereign Wealth Fund managing SOE dividends, expected to co-invest in digital infrastructure and AI.

Crowdfunding and ICOs

Crowdfunding

Raising small amounts of money from a large number of people. In Indonesia, this is regulated under **POJK No. 57/2020** regarding Securities Crowdfunding (SCF).

Initial Coin Offerings (ICOs)

Selling digital tokens (cryptocurrency) to fund a project.

- **ID Context:** Regulated by **Bappebti** (Commodity Futures Trading Regulatory Agency). While tokens are treated as commodities, any security-linked token falls under OJK's gray area.

The Basic Procedure & Underwriters

- ❶ **Management/Board Approval:** Formal decision to go public.
- ❷ **Registration Statement:** In Indonesia, this is submitted to the **OJK** (Otoritas Jasa Keuangan).
- ❸ **Prospectus:** Detailed disclosure provided to potential investors.
- ❹ **The Roadshow:** Marketing the issue to institutional investors.
- ❺ **E-IPO** The **Electronic IPO (E-IPO)** system. It was launched by IDX to ensure fair share allocation for retail investors.
- ❻ **Listing Boards:** IDX has three tiers: **Main Board** (large firms), **Development Board**, and **Acceleration Board** (SMEs/Startups).

Underwriters: Investment banks (e.g., Mandiri Sekuritas, Indo Premier) that act as intermediaries.

- **Lead Manager:** The primary firm managing the IPO.
- **Syndicate:** A group of underwriters sharing the risk.

Types of Underwriting

- **Firm Commitment:** Underwriter buys the whole issue and resells. They bear the risk of unsold shares.
- **Best Efforts:** Underwriter acts as an agent. If the minimum target isn't met, the offer is canceled.
- **Dutch Auction:** Investors bid for quantities and prices. The price is set at the highest level where all shares are sold.

Aftermarket and Provisions

- **The Green Shoe Provision:** An overallotment option (usually 15%) allowing underwriters to stabilize the price post-listing.
- **Lockup Agreements:** Insiders cannot sell their shares for a specific period (e.g., 8 months in Indonesia per POJK 25/2017 for certain tech firms).
- **The Quiet Period:** A time frame around the IPO where the company is restricted from making promotional statements.
- **Direct Listing:** Bypassing underwriters and selling existing shares directly to the public (e.g., Spotify).

Underpricing: The Evidence

- **Definition:** When the offer price is significantly lower than the first-day closing price.
- **1999–2000 Experience:** Extreme underpricing during the Dot-com bubble.
- **Indonesia Context:** Historical data on the **IDX** shows significant underpricing, often over 20-50%, particularly for smaller firms on the Acceleration Board.
- **BUKA case: Bukalapak (2021).** On its first day, BUKA hit the **Auto Reject Atas (ARA)**, rising 25% immediately. This signaled high demand but also meant the firm could have theoretically raised more capital at a higher price.

Why Does Underpricing Exist?

- **Winner's Curse:** Uninformed investors need a discount to participate in risky issues.
- **Information Asymmetry:** Underpricing signals high quality to the market.

The Costs of Going Public

Cost Category	Typical Range
Gross Spread	7% - 10%
Direct Expenses (Audit/Legal)	1% - 5%
Indirect Expenses (Mgmt time)	Significant but hidden
Underpricing	Indirect cost to original owners

Table: Issuance Cost Structure

Indonesia Context: OJK and IDX listing fees are calculated as a percentage of the total capital raised, with caps depending on the Board (Main, Development, or Acceleration).

Rights Mechanics (HMETD)

In Indonesia, a Rights Issue is known as **HMETD** (Hak Memesan Efek Terlebih Dahulu).

- Existing shareholders receive the right to buy new shares pro-rata.
- **Ex-Rights Date:** The date when the stock trades without the right attached.

Value of a Right (Formula)

$$R = \frac{P_0 - S}{N + 1}$$

Variables:

- R : Value of one right.
- P_0 : Current market price (Right-on).
- S : Subscription price (Exercise price).
- N : Number of rights required to buy one new share.

Rights Example

Example: A firm has a market price (P_0) of Rp 1,000. It offers 1 new share for every 4 shares held ($N = 4$) at a subscription price (S) of Rp 800.

Calculation:

$$R = \frac{1,000 - 800}{4 + 1} = \frac{200}{5} = \text{Rp } 40$$

Theoretical Ex-Rights Price (P_e):

$$P_e = \frac{(N \times P_0) + S}{N + 1} = \frac{(4 \times 1,000) + 800}{5} = \text{Rp } 960$$

Dilution of Ownership and Value

- **Dilution of Proportionate Ownership:** Your percentage of the company drops if you don't participate in the rights issue.
- **Dilution of Value:** If shares are sold below market value, the stock price drops (as seen in the ex-rights price).
- **The Correct Argument:** Dilution is only harmful if the firm sells shares at a price below the "true" value or if the funds are invested in negative NPV projects.

Shelf Registration

- Allows a firm to register a large issue and sell pieces of it over time (usually 2 years).
- **Benefits:** Timing the market, reduced paperwork, and flexibility.
- **Example: Astra Sedaya Finance** often registers a PUB of IDR 10 Trillion, issuing "Phase I" when interest rates are low and "Phase II" several months later when expansion cash is required.

Indonesia Context: PUB

In Indonesia, this is called **Penawaran Umum Berkelanjutan (PUB)**.

- Widely used by banks and state-owned enterprises (BUMN) for bond issuance.
- Requires a rating from local agencies like **PEFINDO**.

Thank You!

Questions & Discussion